

FEDERAL MARITIME COMMISSION

DOCKET NO. 22-23

MARINE TRANSPORT LOGISTICS, INC. v. CMA CGM S.A.

RESPONDENT'S MOTION FOR LEAVE TO REPLY

Respondent CMA CGM, SA (“Respondent” or “CMA”) hereby moves for leave to reply to Complainant’s March 15, 2023 Response To CMA’s Motion To Extend Discovery (“Response”). Grant of this Motion is amply justified under 46 C.F.R. 502.71(c) on the ground that the Response is replete with untrue statements of fact and omissions which may mislead the Presiding Officer.¹ Those include:

1. Complainant seems to assert that CMA agreed to waive the Hague Convention for all purposes. Response at 1. That is patently false. CMA agreed to waive only the Hague Convention requirements for service of process with respect to the Amended Complaint, as the language of the joint motion reflects (“CMA agrees...to ...*make a general appearance.*” (emphasis added)). It did not, and indeed could not, waive French criminal law governing the production of documents to courts and administrative agencies in the United States. This is not a matter of the Hague Convention (which is involved only because French law requires requests for documents to follow the process required by the Convention). Rather, it is a matter of French criminal law that requires the compliance of CMA (and wholly owned subsidiary and original

¹ The Presiding Officer could in the alternative consider this as a motion to strike Complainant’s false statements.

respondent CMA CGM (America), LLC) (“CCA”) and would expose the employees of both to criminal sanctions were they not to comply.

2. Complainant’s counsel makes the curious, and untrue, assertion that CMA should have disclosed the need to have French authorities review all documents CMA intends to produce in discovery prior to production before they asked him to consent to substitution of Parties. Response at 2. That is misleading in two respects. First, U.S. Counsel for CMA did not know at that time that French law would affect discovery. Second, and perhaps more importantly, it is entirely irrelevant. As Complainant’s counsel well knows, because CMA’s Counsel explained it to him, French law on the production of documents would still apply even if CCA was still a respondent (or even the only respondent). CCA is a wholly-owned subsidiary of CMA and the documents being requested are owned by CMA and reside on servers located in France. Thus, the identity of the respondent has absolutely no impact on the process which must be undertaken to enable the production of documents and testimony.

3. Perhaps the most obvious misstatement in Complainant’s response is the assertion that “CMA knew about this procedure of first contacting the French authorities, and they did not disclose it.” Response at 2. We do not know when Complainant’s counsel attained the ability to read minds, but he is way off base on this one. Without breaching attorney-client privilege, we can say that the question whether French law might require notification to, and review by, French authorities did not arise until significantly after Complainant served its document requests.² CMA then consulted a law firm in France, which sent the required notice of the document requests to the *Service de l’Information Stratégique et de la Sécurité Economiques (SISSE)* on

² Complainant’s counsel appears to hang his hat on CMA’s use of the word “after” in its motion for extension of time to produce documents. But “after” does not mean “immediately after,” but rather at some time between the discovery request and today.

behalf of CMA, to request official guidance about CMA's proposed production. And as demonstrated in Exhibit A to CMA's motion, SISSE responded that MTL's document requests are in fact subject to French law, so that production without prior review by French authorities would entail potential criminal fines and imprisonment.

4. Another untruth is Complainant's Counsel's claim that he was not told about the notice to SISSE. Response at 2. That is simply untrue. Respondent's Counsel specifically and promptly told him of that fact, by email dated March 1, 2023 (emphasis added):

"Dear Mr. Pogil

We have ***just learned today*** that the discovery requested by MTL is subject to a French criminal statute restricting discovery responses in the U.S. French authorities have verbally confirmed its application to the discovery here (to be followed by a letter, we hope next week) and explained how the issue can be addressed to obtain the approval necessary for legal release.

In short, it will be necessary for the FMC to send a written request under the Hague Convention asking the French authorities to review and clear the proposed release of information. CMA would then provide the requested materials MTL to the French authorities for screening. We understand that release is likely to be permitted, but that it will take some (we expect not too much) time.

Because the FMC must send a letter under the Hague Convention, a motion to the ALJ for an extension of time and for her to send the appropriate request to French authorities, a motion will be necessary, which we propose to submit on a joint basis if agreeable to MTL. Also, to expedite matters, we suggest that you and we have a conference call early next week (Monday would be good for us but we should be able to meet your schedule) to discuss whether the parties can narrow some of the discovery requests, which I hope will ease your burden a bit and reduce the time needed for review by the French authorities.

Thanks and best regards,

Eric

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Complainant’s Counsel responded the same day, as follows:

“Good afternoon,

We can have a phone conference, but I’d first like to review this letter form [sic] the French, so please provide a translation of this letter as soon as possible.

Thank you.

Garry Pogil, Esq
1120 Avenue of the Americas, 4th Floor
New York, NY 10036
Tel: 212-626-6825
Fax: 646-349-3468”

The letter from *SISSE* mentioned above was received March 8, 2023 and promptly transmitted to Complainant’s Counsel. That same day, Complainant’s Counsel informed us that he would nevertheless object to CMA’s Motion for extension.

5. The Response asserts: “According to the uncertified and unsigned translation, the only documents that would arguably fall under the cited French law are those that contain ‘communication of which is likely to create a prejudice to the sovereignty, security or economy of France.’ CMA has not produced a single document in response to MTL’s first request for documents (Exhibit “4”). For example, at a minimum, they could have provided copies of demurrage invoices and communications with the consignee as to such. It surely cannot be argued that demurrage related documents on the subject containers poses a threat to France’s sovereignty.” Response at 3. This inaccurately states French law, as Complainant’s Counsel knows full well. The language he quotes is what French authorities may decide CMA cannot **produce**. It does not govern, or even address, what documents French authorities are required to **review**. Indeed, *SISSE* has specifically advised CMA in writing that French criminal law requires review by French authorities of **all** requested documents before CMA may produce anything to

Complainant. CMA personnel are naturally not willing to go to jail for refusing to provide documents to French authorities for review. CMA agrees with Complainant that the French authorities are very likely to approve production of all (or almost all) of the requested documents, so the real issue is only a matter of when, not whether, Complainant can obtain the documents. CMA has informed the French authorities of the need for expedition, and they have responded affirmatively, stating that the review period is likely to be about three weeks.

CONCLUSION

Respondent believes that the foregoing provides extraordinary circumstances and good cause for allowing Respondent to reply to Complainant's Response. If the Presiding Officer would find it useful, Respondent will gladly provide a memorandum from the French law firm explaining French law.

Dated: March 16, 2023

Respectfully submitted,

/s/ Rebecca A. Fenneman

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CERTIFICATE OF SERVICE

I certify that on the 16th day of March, 2023, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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